increased from ₹8.9 crores to ₹217.8 crores. Advance to industries specified as ‘priority industries’ by the Government of India following the devaluation of the rupee in June 1966 constituted 78.1 percent of the total industrial advances at the end of 1967.[9]

The bank’s industrial advances also saw a qualitative change. Traditionally banks in India had confined themselves to financing working capital of industries. To meet the growing needs of industries for capital expenditure, expansion and modernization, the SBI started granting medium-term loans for acquisition of plant and machinery. It introduced an Installment Credit Scheme to enable the small and medium sized industrial units to purchase equipment and machinery. At the end of March 1968, the bank’s commitment under medium-term loans aggregated ₹36.5 crores and under deferred payment guarantees ₹204.5 crores.[10]

As a national institution, the bank was committed to provide finance according to the needs of the economy. In the field of exports, the bank made special efforts to help export promotion by providing liberal pre-shipment and post-shipment credit facilities to exporters. Exporters were also granted medium-term credit and guarantees were executed on their behalf for fulfillment of various types of obligations. Apart from financing public sector units, the bank also provided financial accommodation to the State Government and the Food Corporation of India for procurement and storage of food grains in their efforts to stabilize food grain prices. The total volume of the bank’s advances to the public sector and for food procurement increased and at the end of April 1968, such advances amounted to ₹191.5 crores.[11]

Credit to the Cooperative Sector

The Committee of Direction of the Rural Credit Survey saw the role of the SBI as being responsive ‘to the needs of co-operative institutions connected with credit and especially, marketing and processing’. The primary role in this regard was that of the RBI and the SBI’s role in relation to co-operatives was that of a supplementary financing agency.

In March 1957 when the role of the SBI vis-à-vis cooperative and agricultural finance was examined by an ad-hoc committee of the RBI, it concluded that the bank’s participation in the financing of marketing and